

**Committee on Subsidies  
and Countervailing Measures**

Original: English

**IMPLEMENTATION-RELATED ISSUES REFERRED  
TO THE COMMITTEE BY MINISTERS**

Questions from Canada to Brazil<sup>1</sup> and India<sup>2</sup>

The following communication was received on 14 January 2002 from the Permanent Mission of Canada.

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**Article 14 – (Topic 1 from Annex I to the Chairman’s paper circulated by fax on 17 December 2001)**

Issue<sup>3</sup> 1 – In principle, we favour greater transparency/predictability in the application of the Agreement. Is Brazil seeking further elaboration of paragraphs (a) to (d) of Article 14 or does Brazil perceive deficiencies in coverage beyond current Article 14. If so, what would those deficiencies be?

Issue 2 – Is Brazil’s intent simply to codify existing WTO case law (Canada-Regional Aircraft) which has held that Article 1.1(b) of the ASCM does not admit of a “cost to government” approach to determining benefit?

Issue 3 – Is India suggesting that, where the specified financial contribution (i.e., the forgoing or non-collection of duties) occurs after the period of investigation, there is no benefit notwithstanding that the eligibility requirements were satisfied and legal entitlement to the financial contribution vested during the investigation period? Is a benefit in terms of the marketplace not conferred at the time legal entitlement to a financial contribution vests in the recipient (insofar as the financial contribution becomes a receivable of the enterprise concerned, which can be factored into its product pricing equation)?

Issue 4 – What does India perceive to be the deficiencies in current footnote 1 and items (h) and (i) of Annex 1? Given that the remission or drawback of duties otherwise owing are, by their very nature, financial contributions, is it not incumbent on granting Members to ensure that their programmes are administered in a manner that allows for verification of the amounts by which exemptions or remissions exceed duties which have accrued?

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<sup>1</sup> G/SCM/W/464.

<sup>2</sup> G/SCM/W/462.

<sup>3</sup> “Issue” refers to those outlined in the aforementioned Annex I which in turn were taken from the Brazil and India submissions – G/SCM/W/464 and G/SCM/W/462 respectively.

Issue 5 –

- (a) Does this refer to administrative costs, (e.g., application costs). If not, what other expenses are envisaged?
- (b) Consistent with current practice in many countries.
- (c) What would Brazil's preference be, e.g., company rates, country tax rates, etc.? Depreciation expense is referred to Article 2.2.1.1 of the Anti-dumping Agreement. Is Brazil looking for a parallelism i.e., depreciation that would be "in accordance with GAAP standards of the exporting country and reasonably reflect the costs associated with the production and sale of the product under consideration."

Issue 6 – See comments re. 5(c) above.

Issue 7 – As a *quid pro quo* for sampling, does Brazil envisage a requirement for expedited reviews, where justified, to confer individual company rates?

Issue 8 – No comment.

***De minimis* –(Topic 3 from Annex I to the Chairman's paper circulated by fax on 17 December 2001)**

Issue 1 – While the relevancy of *de minimis* is clear in investigations, its application in the enforcement stage is less so. In particular, where the amount of subsidy was not found to be *de minimis* in the original investigation and resulting injury to the domestic industry was established, the levying of countervailing duties on all subject imports, (including particular shipments benefiting from *de minimis* amounts of subsidy), may be justified both for valid policy and administrative reasons.

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